Individual Assignment Cover Sheet

MBA 2024/2025

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Assignment Code: MBA130

Name of Course: International Finance

Lecturers for this Coursework: Prof. Lucio Sarno

Hand-in date: 27/June/2025

Word Count: 796 (including references in OP-ED version, FT required less than 800 word in total)

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“Question 7. Are emerging market currencies more a risk or an opportunity?”

OP-ED to Financial Times

Emerging Market Currencies - The Opportunity in the Eye of the Storm An Analytical Perspective on Risk and Reward

There is growing debate over the rise of emerging market currencies during this period of global turbulence. Yet for those of us at the crossroads of banking, investment and artificial intelligence, this moment signals potential rather than peril. As fund managers pull back from the dollar amid erratic US policy shifts, strong and resilient currencies from the developing world are stepping forward. Far from fragile, many are outperforming their counterparts in supposedly stable economies (Cotterill & Herbert, 2025).

This is more than a passing phase. It marks a shift in how capital is allocated and risk interpreted. Banks and investors embracing analytics and modern tools are gaining a clear advantage. The real question is not whether these currencies are risky, but whether we can evaluate that risk wisely. The evidence says we can.

A Market Understood Through Auction Theory

To understand what is happening, let’s consider auction theory, especially the work of Nobel Prize winners Paul Milgrom and Robert Wilson (Nobel Prize Committee, 2020). Their research into how markets function with uneven information helps explain why some investors are now identifying untapped value in emerging markets.

These are not empty hopes. They are grounded in opportunity. Yet because many models have not adapted, investment remains below potential. Emerging market equities accounted for 8 percent of global equity fund holdings in 2017. That has dropped to just 5 percent (Cotterill & Herbert, 2025). This decline stems more from hesitation than from a change in fundamentals.

Amartya Sen, the Economics Nobel laureate from University of Cambridge, offered another way to frame this. In Development as Freedom, he argued that real development should be measured by capabilities, not simply output (Sen, 1999). While wealthier economies debate monetary tightening, many emerging countries have quietly strengthened their institutions, digitised systems and diversified trade. These are signs of growing maturity.

AI-Driven Insights from Latin America

Latin America shows how these markets are adapting. In 2024, Colombia’s central bank launched AI tools to improve forecasting of currency movements. These models draw on data from pricing, trade and markets to assess financial risks more accurately (Rowland, 2024).

AI does not remove uncertainty, but it helps interpret it. Machine learning can detect complex relationships between commodity flows, interest rates and global investment trends. The result is better valuations and stronger confidence in decision-making.

Strategic Implications for Banking

There are risks nevertheless; the Bank of England's 2024 Financial Stability Report noted that volatility in emerging market currencies could affect UK institutions (Bank of England, 2024). But risk cuts both ways. Banks with the right tools and local insight can turn instability into opportunity.

A UK business sourcing materials from Vietnam or Brazil, for instance, can take out loans in local currency, aligning debt with expenses. This approach reduces exposure to currency swings and enhances predictability. It is important to highlight that the IMF reports a 4 percent fall in emerging market currencies against the dollar this year, but that average conceals a wide gap between countries with strong fundamentals and those without (Adrian, Natalucci & Wu, 2024).

Zooming out, the International Monetary Fund forecasts that emerging markets will grow by 4.2 percent in 2024 and 2025. Developed economies are expected to grow at half that rate or less (International Monetary Fund, 2025). This is not wishful thinking. It reflects better fiscal management, maturing institutions and real productivity.

A Call to Action

It is time to shed the outdated mindset that emerging market currencies are inherently risky. With stronger fundamentals and clearer data, they are increasingly stable assets. The path forward is not speculation but careful analysis.

Financial institutions must invest in region-specific expertise, embrace AI-powered risk models and design solutions tailored to the realities of these economies. The reward lies not only in performance, but in resilience and long-term growth.

Emerging market currencies are not the eye of the storm. They are the centre of a new global order. The opportunity is clear. The moment to act is now.

Sincerely,

MBA Student, Judge Business School, University of Cambridge

(Name to be provided in OP-ED to FT. - Anonymised following JBS Guidelines)

Note: An Interactive Dashboard was built for this work to illustrate some of the scenarios discussed. More details in Appendix II. The secure https link is:

https://aa-partner.shinyapps.io/currency_emerging_markets/

References

Adrian, T., Natalucci, F. & Wu, J. (2024). *Financial Stability Implications of Emerging Market Currency Developments.* International Monetary Fund Blog. Available at: https://www.imf.org/en/Blogs/Articles/2024/07/22/financial-stability-implications-of-emerging-market-currency-developments (Accessed: 19 June 2025).

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Sen, A. (1999). Development as Freedom. Oxford University Press. (Accessed: 19 June 2025).

APPENDIX I - Submission Evidence

Dear Opinion Page Editor,

Please kindly find below my perspective on the topic of Emerging Markes Currencies.

Emerging Market Currencies - The Opportunity in the Eye of the Storm
An Analytical Perspective on Risk and Reward

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Amartya Sen, the Economics Nobel laureate from University of Cambridge, offered another way to frame this. In Development as Freedom, he argued that real development should be measured by capabilities, not simply output (Sen, 1999). While wealthier economies debate monetary tightening, many emerging countries have quietly strengthened their institutions, digitised systems and diversified trade. These are signs of growing maturity.

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A Call to Action

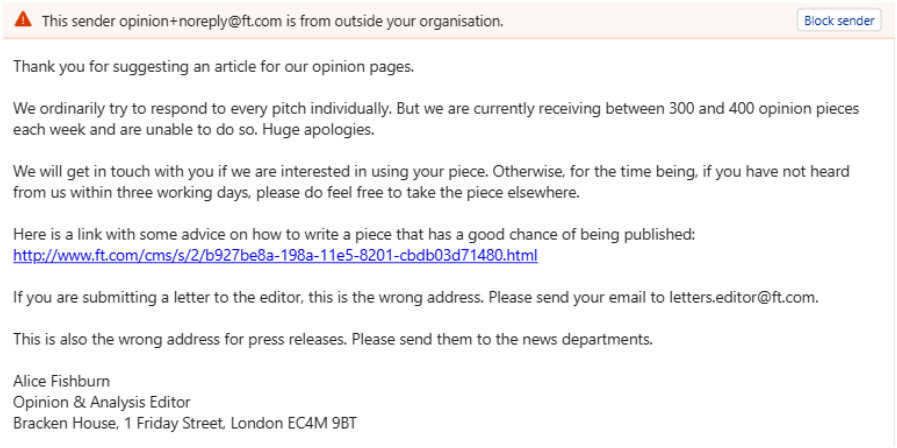
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Sincerely,

Confirmation of Receipt



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Thank you for suggesting an article for our opinion pages.

We ordinarily try to respond to every pitch individually. But we are currently receiving between 300 and 400 opinion pieces each week and are unable to do so. Huge apologies.

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Here is a link with some advice on how to write a piece that has a good chance of being published:
http://www.ft.com/cms/s/2/b927be8a-198a-11e5-8201-cbdb03d71480.html

If you are submitting a letter to the editor, this is the wrong address. Please send your email to letters.editor@ft.com.

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Alice Fishburn
Opinion & Analysis Editor
Bracken House, 1 Friday Street, London EC4M 9BT

APPENDIX II – Interactive Dashboard (built by me as complementary analysis)

Main Public Link: https://aa-partner.shinyapps.io/currency_emerging_markets/

General Description

Dashboard Description: This comprehensive online dashboard analyses emerging market currencies using advanced AI and quantitative methods. It features six interactive tabs covering market overview, currency performance, AI risk analytics, auction theory applications, Monte Carlo simulations, and academic references. The platform integrates real-time data visualization, machine learning models, and Nobel Prize-winning economic theory to provide sophisticated tools for financial professionals, researchers, and analysts working with emerging market exposures and currency risk management.

Tab Descriptions:

Market Overview: Provides comprehensive analysis of emerging versus developed market performance, capital flows, and risk-return profiles. Features interactive charts showing GDP growth comparisons, regional capital flow patterns, and currency risk assessments with customizable parameters.

Currency Performance: Analyses real-time currency dynamics using multi-factor valuation models. Displays 30-day rolling returns, real exchange rate trends, volatility surfaces, and performance matrices for major emerging market currencies with adjustable volatility thresholds.

AI Risk Analytics: Implements machine learning algorithms for currency risk assessment. Features AI-powered VaR calculations, risk factor decomposition, **model performance comparisons, and real-time risk monitoring with configurable confidence levels and prediction timelines.**

Auction Theory Models: Applies Nobel Prize-winning auction theory to currency markets. Analyses information asymmetry, bid-ask spreads, market efficiency indicators, and the winner's curse phenomenon affecting emerging market currency valuations and pricing dynamics.

Monte Carlo Simulations: Runs advanced probabilistic risk simulations with customizable parameters. Generates distribution analyses, scenario paths, stress testing results, and comprehensive risk metrics including VaR and Expected Shortfall calculations for portfolio assessment.

Academic References: Comprehensive collection of Harvard-style citations organized by topic areas. Includes primary sources, auction theory research, emerging markets studies, AI in finance literature, and risk management methodologies supporting all dashboard analyses.

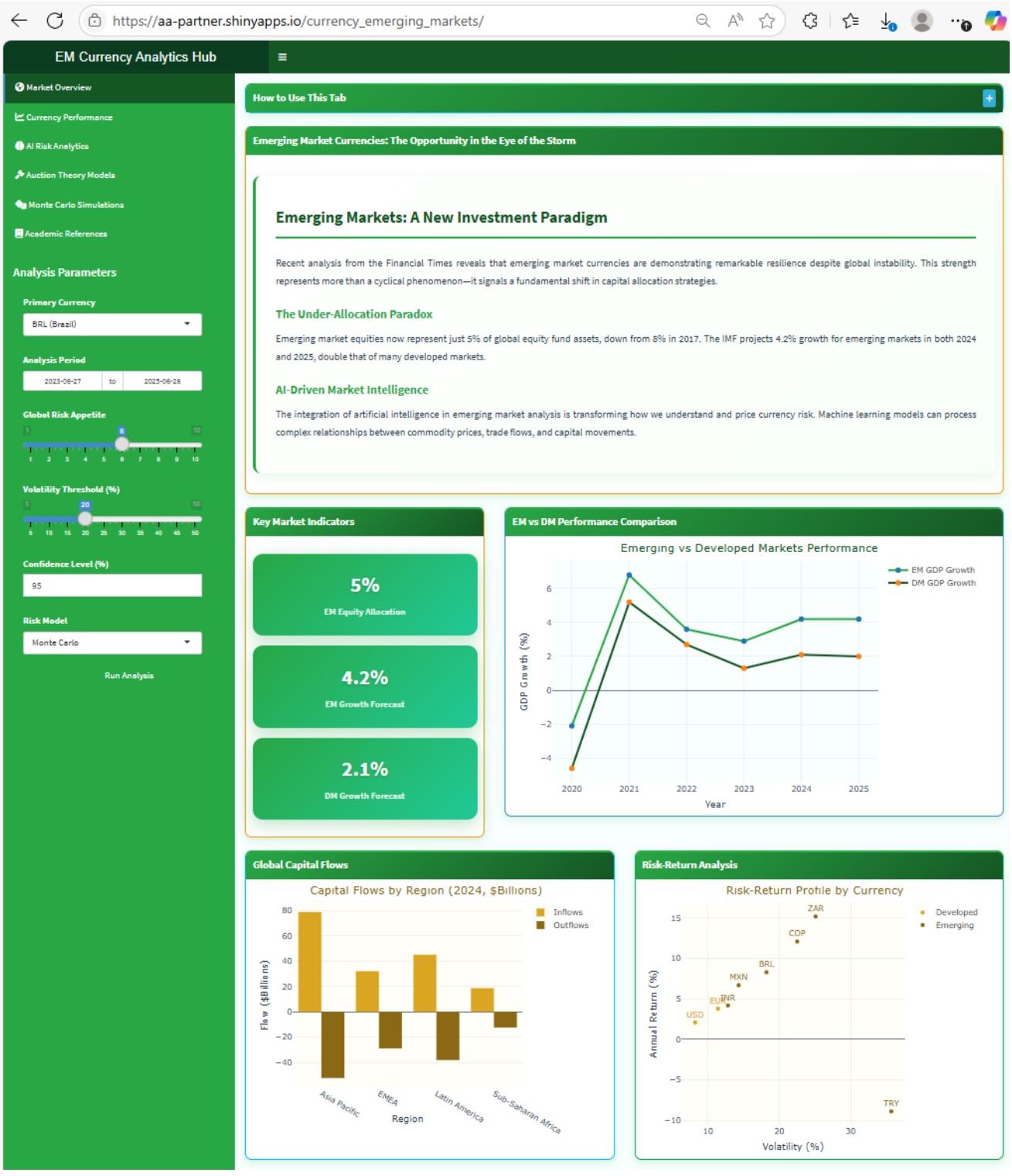


Figure A1 – General Overview of the Dashboard

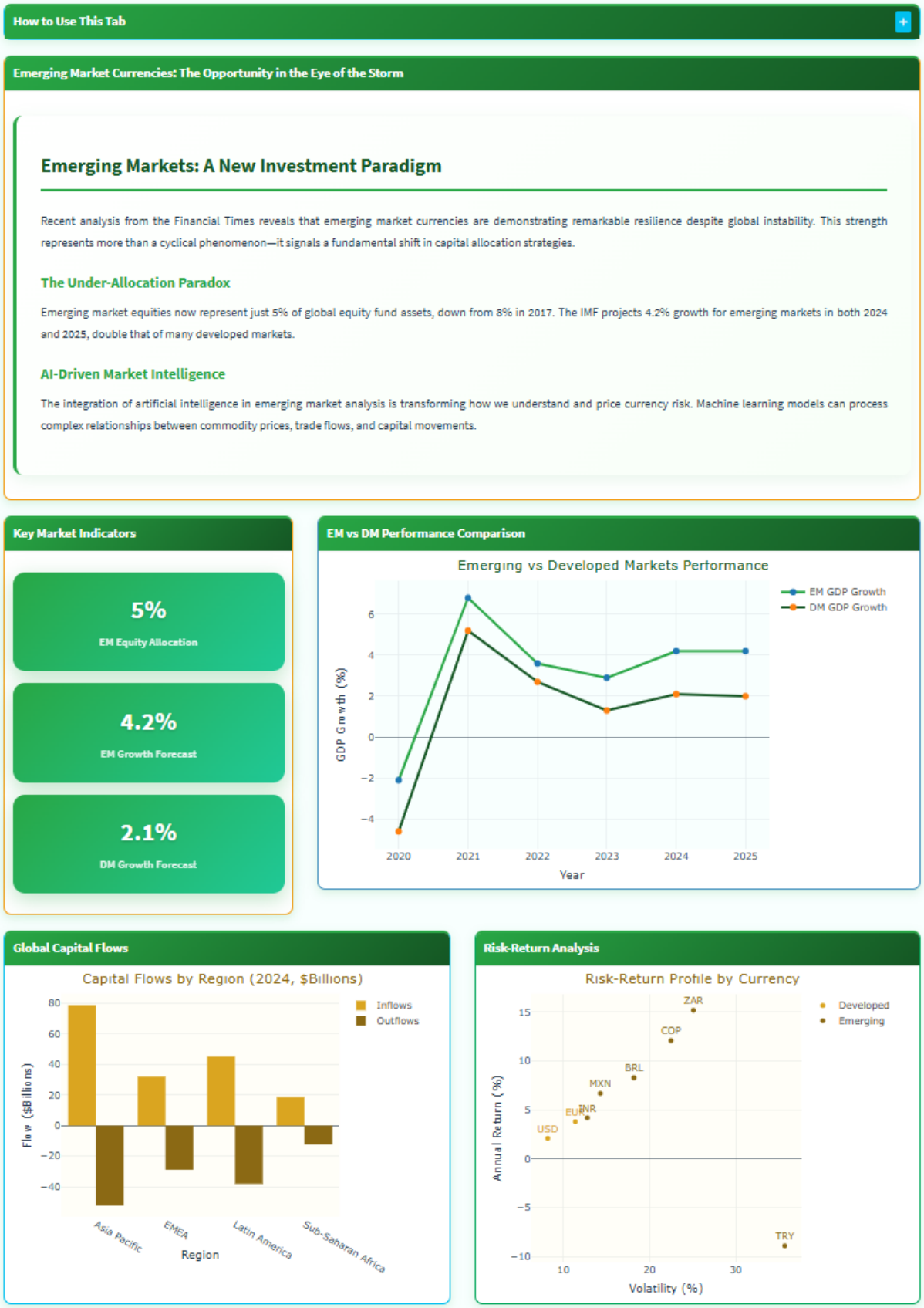


Figure A2 – Tab: Market Overview

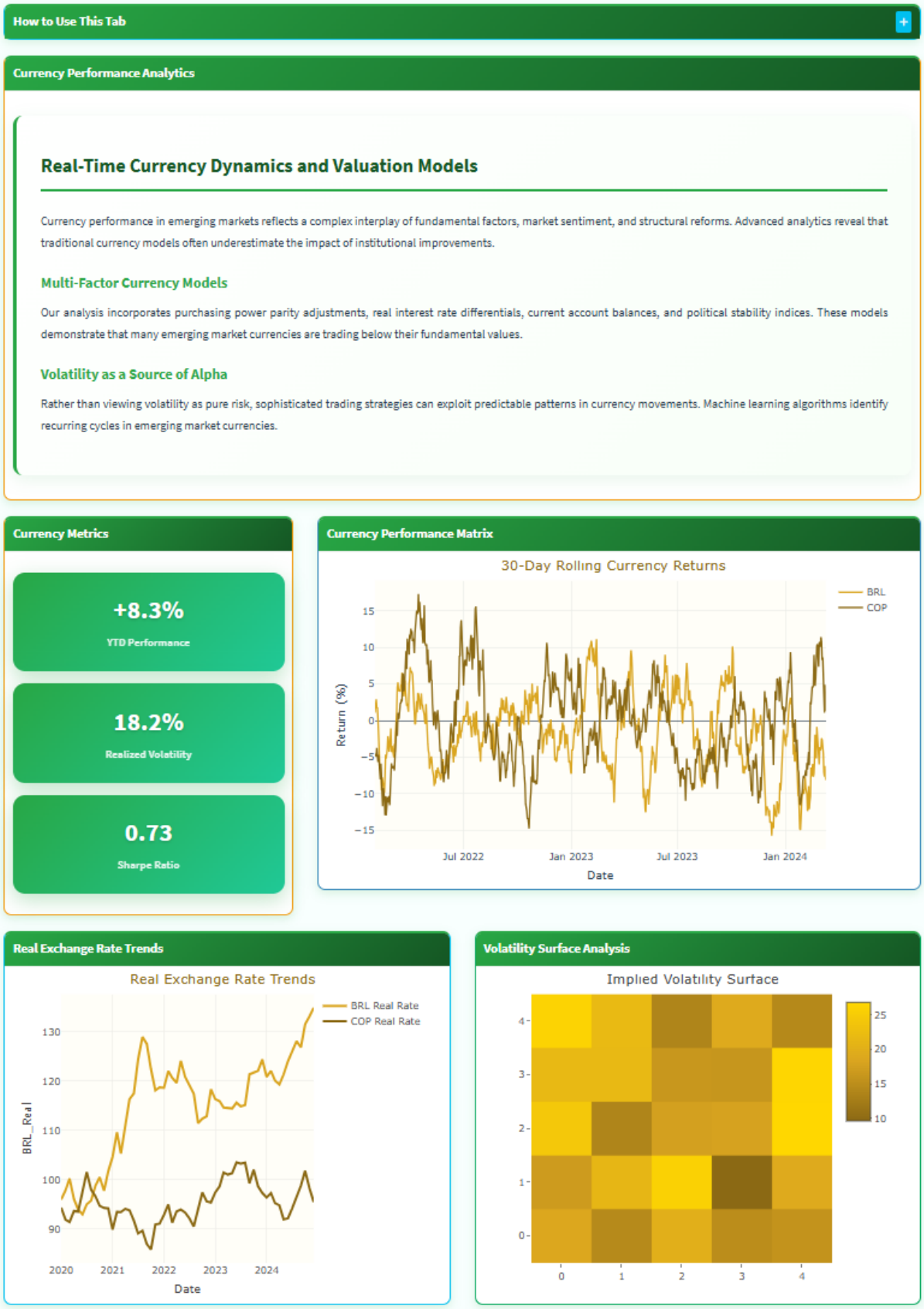


Figure A3 – Tab: Currency Performance

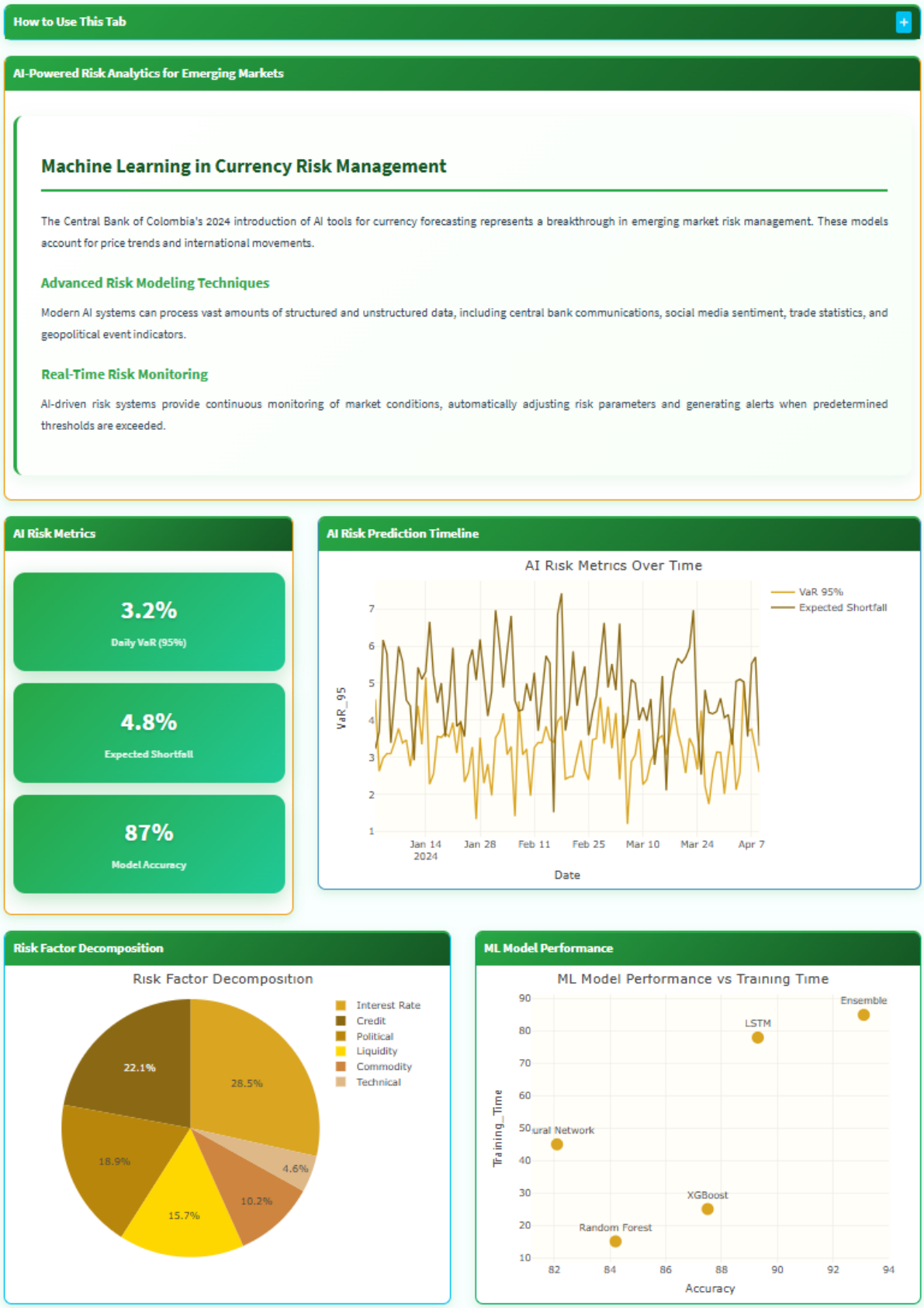


Figure A4 – Tab: AI Risk Analysis

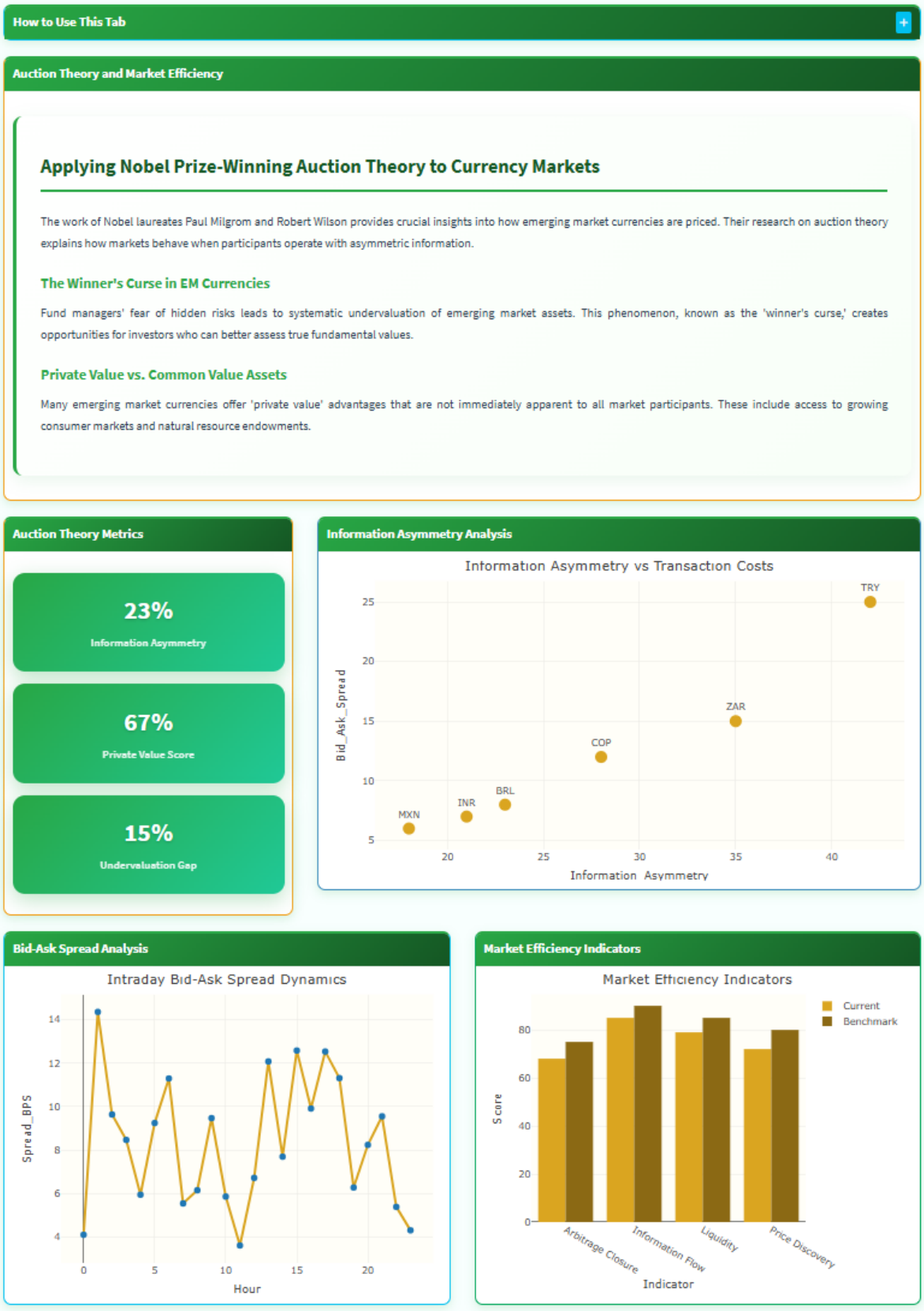


Figure A5 – Tab: Auction Theory

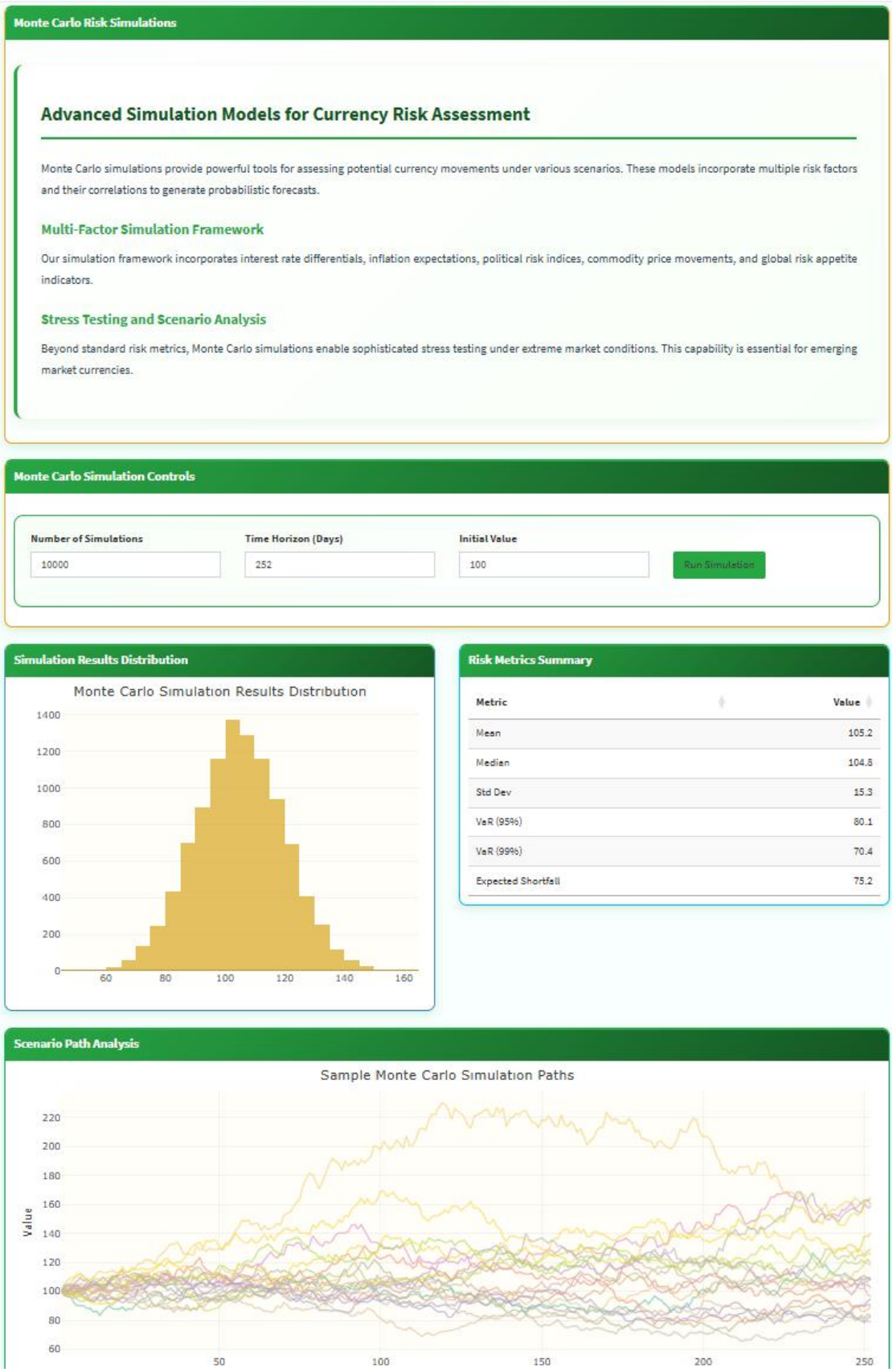


Figure A6 – Tab: Monte Carlo Simulations



Figure A7 – Academic References

APPENDIX III – Letter to be Sent to FT (in case OP-Ed is not published)

Word count: 375

The Financial Times' recent coverage of the resilience of emerging market currencies shines a necessary light on a crucial but often misunderstood global shift (Cotterill & Herbert, 2025). While headlines focus on dollar volatility and interest rate uncertainty, the real story is the quiet strength of emerging economies.

This is not about exotic risk, but strategic opportunity. As global capital begins to pivot away from the dollar, many emerging market currencies are outperforming their developed counterparts. It is a wake-up call to rethink what constitutes safety and value in today's world.

Nobel laureates Paul Milgrom and Robert Wilson taught us that market outcomes are shaped by private knowledge and bidding dynamics (Nobel Prize Committee, 2020). Today, investors are waking up to the "private value" embedded in emerging economies, whose assets remain undervalued. Since 2017, emerging market stocks have fallen from 8 to just 5 percent of global equity fund holdings, a mispricing that savvy investors are beginning to correct.

Development is not merely about GDP. Amartya Sen's vision of "development as freedom" still holds weight (Sen, 1999). Many of these economies have invested in institutions and capabilities, while developed nations remain mired in policy gridlock.

Colombia offers a vivid example. In 2024, its central bank adopted artificial intelligence to improve exchange rate forecasting, a clear leap forward in monetary planning and financial transparency (Rowland, 2024). These tools enhance confidence and make investing in such currencies far more appealing.

However, IMF reports a 4 percent fall in emerging market currencies against the dollar this year, but that average conceals a wide gap between countries with strong fundamentals and those without (Adrian, Natalucci & Wu, 2024).

For British companies with ties to Vietnam, Mexico or beyond, emerging market currencies are not a risk to be feared but a natural hedge. Aligning revenues and costs in local currency reduces exposure and smooths volatility.

With growth projected at 4.2 percent for emerging economies, double that of developed markets (International Monetary Fund, 2025), the question is no longer whether to act, but how soon?

Yours sincerely,
(Name to be provided in letter to the FT. - Anonymised following JBS Guidelines)

References

Adrian, T., Natalucci, F. & Wu, J. (2024). *Financial Stability Implications of Emerging Market Currency Developments.* International Monetary Fund Blog. Available at: https://www.imf.org/en/Blogs/Articles/2024/07/22/financial-stability-implications-of-emerging-market-currency-developments (Accessed: 19 June 2025).

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